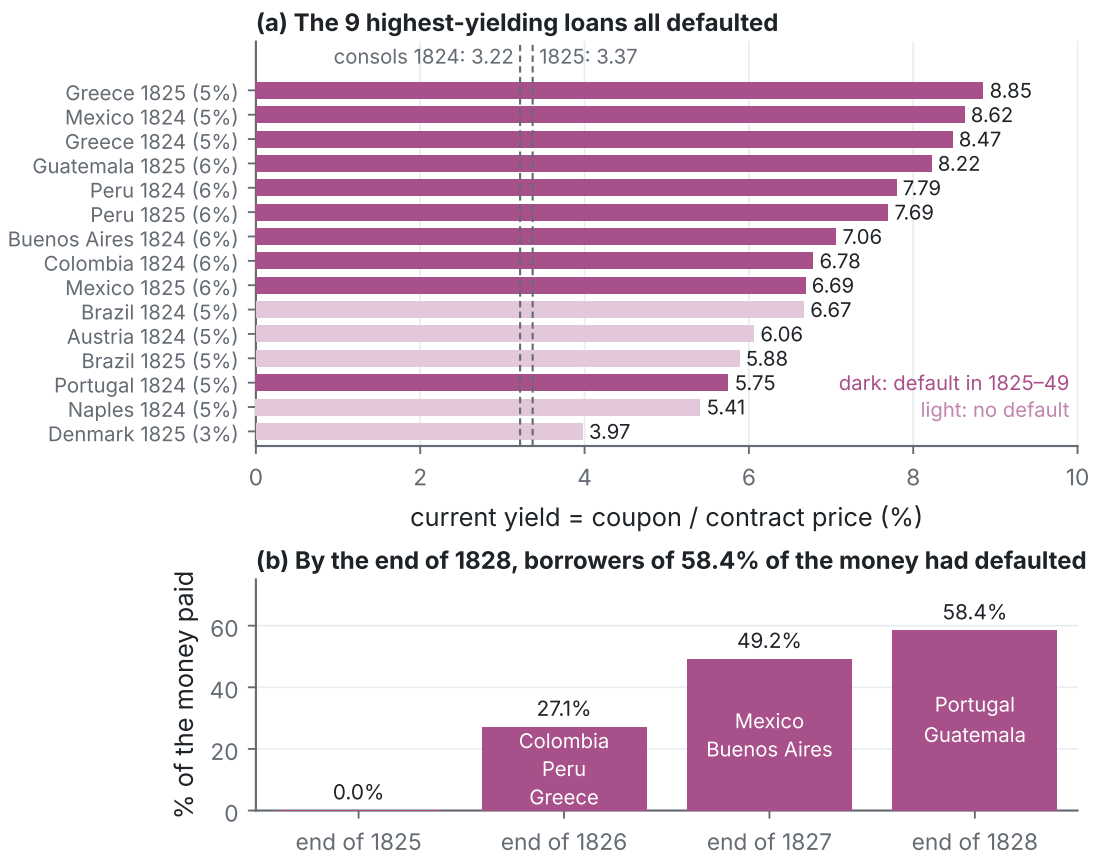
(a) The 9 highest-yielding loans all defaulted
consols 1824: 3.22
1825: 3.37
Greece 1825 (5%)
Mexico 1824 (5%)
Greece 1824 (5%)
Guatemala 1825 (6%)
Peru 1824 (6%)
Peru 1825 (6%)
Buenos Aires 1824 (6%)
Colombia 1824 (6%)
Mexico 1825 (6%)
Brazil 1824 (5%)
Austria 1824 (5%)
Brazil 1825 (5%)
Portugal 1824 (5%)
Naples 1824 (5%)
Denmark 1825 (3%)
8.85
8.62
8.47
8.22
7.79
7.69
7.06
6.78
6.69
6.67
6.06
5.88
5.75
5.41
3.97
dark: default in 1825–49
light: no default
0
2
4
6
8
10
current yield = coupon / contract price (%)
(b) By the end of 1828, borrowers of 58.4% of the money had defaulted
% of the money paid
0
20
40
60
0.0%
27.1%
Colombia
Peru
Greece
49.2%
Mexico
Buenos Aires
58.4%
Portugal
Guatemala
end of 1825
end of 1826
end of 1827
end of 1828